Automatic Data Processing

Equity valuation. 5 August 2026 close. Aadi Joshi.

Reference price	Base DCF value	Base upside / (downside)
$270.09	**$236.08**	**-12.6%**

Valuation view

The base DCF supports 236.08 dollars per share, 12.6% below the 270.09-dollar reference price. Recurring payroll revenue supports the operating case, but the price requires stronger long-run cash economics or a lower required return. The base case offers no margin of safety at the reference price.

Operating case

ADP reported FY2026 revenue of $21.95 billion and operating EBIT of $5.78 billion. Management's FY2027 outlook called for 5%-6% revenue growth and approximately 23% adjusted tax. The forecast reaches $28.19 billion of revenue and a 29.0% operating margin in FY2031. The forecast uses GAAP operating profit; the adjusted margin outlook provides context rather than an exact accounting match. [1]

The revenue build separates core HCM fees, net PEO services, benefit reimbursements and client-funds interest. Benefit reimbursements contribute no direct profit. Fee revenue drives operating depreciation and capital spending. Client-funds contribution deducts a 3% portfolio administration and liquidity allowance from interest revenue. That allowance is an estimate, not a company-reported cost ratio.

Higher client yields improve earnings substantially because most incremental interest reaches operating profit. Employment, retention and service pricing govern the fee business. The model preserves separate client assets and client obligations rather than treating payroll balances as corporate wealth.

Scenario	Value / share	Difference to reference
Downside	$173.25	-35.9%
Base	$236.08	-12.6%
Upside	$292.74	8.4%
Equivalent multiple	$236.08	-12.6%

Scenario values change operating and terminal assumptions. They are model comparisons, not probability estimates. The equivalent multiple reconciles the base terminal assumptions.

Cash generation and investment

Deferred contract costs remain part of operating investment. FY2026 cash additions were $1,307.9 million, amortization was $1,200.5 million and the ending contract asset was $3,244.1 million. The explicit schedule deducts net contract investment once. Final-year FCFF is $6,095.3 million. [1]

Terminal growth is 2.75%, with 25% incremental ROIC in the base case. This requires $711.4 million of first-terminal-year net investment and produces $5,756.0 million of terminal FCFF. The return assumes continuing pricing and renewal advantages. At 20% ROIC, value falls to $230.25; at 30%, it rises to $239.97. These returns are forecast judgments.

Valuation risks

Automatic Data Processing. USD millions except per-share data. Forecast values derive from the accompanying workbook.

Required return

WACC is 8.00%. The selected beta of 0.839 starts from the January 2026 cash-corrected operating beta of 0.81 for business and consumer services and applies ADP's corporate debt-to-equity ratio. The 4.63% Treasury rate is dated 5 August; the 4.23% ERP is the selected 2025 estimate published in January. The 5.25% marginal debt cost is an analyst estimate. Industry scope and lease conventions limit the beta comparison. [2, 3, 4]

Sensitivity

Independent change	Value / share
WACC -1.00 percentage point	$292.88
Base	$236.08
WACC +1.00 percentage point	$197.45
Terminal growth -0.50 percentage point	$222.67
Terminal growth +0.50 percentage point	$252.27

Terminal value contributes 78.1% of enterprise value. The same terminal cash flows imply 12.40x final-year EBITDA and reproduce $236.08 per share. This reconciliation uses the same growth and reinvestment assumptions. Holding the rest of the model fixed, the reference price requires approximately 34.2% FY2031 EBIT margin versus 29.0% in the base forecast.

A 50-basis-point reduction in each forecast client-funds yield produces $228.94 per share. Service costs, settlement liquidity and contract investment should be reassessed if client balances or retention deviate from the case.

Equity bridge and disclosure limits

The equity bridge deducts $4,964.1 million of funded corporate debt and adds $2,729.4 million of cash after the reserve and pledged cash. Diluted shares are estimated at 398.7 million from the latest disclosed basic count and incremental award effect. Balance-sheet amounts reflect the June disclosure, not a measured 5 August cash balance. [1]

All three models discount at fiscal year-end using actual days / 365. The first future period is prorated by remaining fiscal days. This approximates evenly timed cash generation; seasonal spending can change the remaining-period cash flow. Market inputs and company disclosures are kept at or before the stated cutoff.

Sources

[1] ADP, FY2026 earnings release, 29 July 2026. Statements, client-funds outlook and contract-cost cash flows.

[2] U.S. Treasury, daily par yield curve, 5 August 2026, 10-year rate.

[3] Aswath Damodaran, historical implied U.S. ERP, 2025 endpoint, January 2026 dataset.

[4] Aswath Damodaran, U.S. sector betas, January 2026, Business & Consumer Services.

[5] Yahoo Finance, ADP historical prices, 5 August 2026 close.